

Blinkit vs Instamart: The Density Gap

Numbers are from Eternal's and Swiggy's Q1 FY27 results, for the quarter ending June 2026. Where I've worked something out myself rather than lifted it from a filing, I've said so.

Blinkit made ₹102 crore last quarter. Instamart, running what looks like the same business in the same country, lost ₹778 crore.

The usual explanation is market share. Blinkit has roughly twice as much, so of course it's ahead. I don't think that's the real answer, and the more interesting version is hiding one level down.

Both companies tell you how much they sold and how many dark stores they have. Neither tells you how busy a single store is. So I worked it out.

Q1 FY27	Blinkit	Instamart
Order value	₹17,132 Cr	₹7,907 Cr
Growth over last year	+86%	+40%
Dark stores	2,443	1,171
Stores added this quarter	200	28
Contribution margin	4.0%	-0.2%
Adjusted EBITDA	+₹102 Cr	-₹778 Cr
Orders per store, per day	~1,490	~1,070

Everything except the last row is disclosed. For that one I divided Blinkit's order value by its ₹518 average order value, and Instamart's revenue by the ₹108 per order Swiggy reports. Both use end-of-quarter store counts, so both numbers are a little low.

Blinkit pushes about 39% more orders through each store, every day. And a dark store costs roughly the same to run either way. Same rent, same staff, same shelves. Fill it or don't, the bill arrives.

That gap is most of the profit gap. Not share. Density.

Two other things point the same direction. Swiggy said just over 45% of Instamart's stores are contribution positive, which is a polite way of saying the majority still aren't. And analysts tracking the category through early 2026 found that almost all the profitable stores in the country sit in the eight biggest cities, while tier-2 stores keep bleeding.

The number Swiggy accidentally gave everyone

Buried in Swiggy's shareholder letter is the most useful figure of the quarter. Instamart needs **250 to 300 million orders a quarter** to break even on adjusted EBITDA.

By my maths it did about 114 million. So it needs to be somewhere between double and triple its volume.

If it tried to get there just by opening stores at today's busyness, it would need something like 2,600 to 3,100 of them. It has 1,171.

Swiggy is clearly not going to attempt that. It opened 28 stores last quarter and said it plans about 75 next. Blinkit opened 200.

That difference is the whole story of the category right now. One company is buying density because it can still find it. The other has quietly concluded it can't, and is trying to get there some other way.

Two opposite bets, and both of them make sense

Put the quarters side by side and the two are doing almost exactly opposite things.

Blinkit is chasing volume and letting the basket shrink. Its average order actually fell 1.8% to ₹518. But more people came, and they came more often, with order frequency ticking up to 3.47 from 3.36. Its take rate improved. Its cost per order also rose, partly because several states raised minimum wages, so contribution margin slipped slightly even as everything else improved. And it kept opening stores.

Instamart went the other way. It pushed average order value up 12.1%. It stopped serving more than four million customers it had decided were unprofitable, which is a genuinely bold thing to do when your headline metric is growth. Contribution margin improved 440 basis points year on year and crossed break-even in May. And it barely opened anything.

Neither is wrong. Blinkit already has full stores, so one more order costs it almost nothing and it should go get that order even if the basket is smaller. Instamart has half-empty stores, so a cheap order in one of them just burns money, and cutting is the right call.

If anything, the riskier position is Blinkit's. Its whole approach assumes there's more dense ground to take. The day that runs out, a falling average order value stops looking clever and starts looking like a margin problem with nothing to offset it.

So where does the growth actually come from

Geography is close to done. Three things are left, and they're what I'd put money behind.

Get more out of the areas already covered. Eternal lists demand densification as a priority alongside expansion, and it's the only one of the two that raises orders per store. More customers and more frequent orders in a neighbourhood you already serve cost nothing extra in rent.

Sell more of the profitable stuff. Non-grocery is now reported at roughly a quarter of category sales, having about doubled in a year and a half. Better margins, bigger baskets, same store, same delivery trip. It's the cheapest margin available.

Sell ads. Zepto's filings showed ₹1,636 crore of ad revenue in FY26. Ads are high margin and, unlike everything else here, completely indifferent to how many stores you have.

There's one comparison that puts all of this in perspective. Blinkit made ₹102 crore last quarter. Zomato's food delivery business, which owns no stores at all, made ₹606 crore. At Swiggy it's starker: food delivery made ₹292 crore, Instamart lost ₹778 crore.

At both companies, the smaller business with no real estate earns far more than the bigger one buried in it. Quick commerce is winning on how much people spend and losing on what comes back.

What I'd actually watch

Orders per store per day, split by city tier and by how old the store is. Then: what share of the network is contribution positive, how long a new store takes to get there, how much of the basket is non-grocery, and how much ad revenue is coming per rupee of orders.

Not market share. Market share is a scoreboard, not a diagnosis.

Where I could be wrong

If Instamart breaks even well short of 250 million orders, then basket and mix matter more than density and I've made too much of one number.

If tier-2 stores turn out to break even at much lower volumes than metro stores, the ceiling is higher than I think and expansion still works.

And if Blinkit's contribution margin keeps sliding while it opens 200 stores a quarter, that's the early sign it has already run past the point where new ground pays for itself. That would mean the squeeze arrives sooner than either company is planning for.

But the underlying point survives all three. When your fixed cost is a building, the question was never how many customers you have. It's how many each building can reach, and how much of India is dense enough to clear that bar.